

# COMMISSION PURCHASE AGREEMENT

*True Sale of Commission Receivable*

Deal No. 1042-0609-26

THIS AGREEMENT made as of **June 9, 2026**.

## BETWEEN:

**Jane Q. Sample (SAMPLE AGENT)**

*(hereinafter called the "Seller")*

and

**FIRM FUNDS INC.**

a corporation incorporated under the laws of the Province of Ontario

*(hereinafter called the "Purchaser")*

## RECITALS

**WHEREAS** the Seller is a licensed real estate salesperson registered with the Real Estate Council of Ontario ("RECO") and is affiliated with the Brokerage identified in Schedule "A" hereto (the "Brokerage");

**WHEREAS** the Seller has earned a commission (the "Commission") in connection with the real estate transaction described in Schedule "A" hereto (the "Real Estate Transaction");

**WHEREAS** the Real Estate Transaction is firm, with all conditions of the Agreement of Purchase and Sale having been waived or satisfied;

**WHEREAS** the Seller wishes to sell, and the Purchaser wishes to purchase, the Commission on the terms and conditions set forth herein;

**WHEREAS** the Parties intend this Agreement to constitute an absolute and unconditional sale and assignment of the Commission from the Seller to the Purchaser, and expressly do not intend this transaction to constitute a loan, a financing arrangement, or a security interest of any kind;

**NOW THEREFORE**, in consideration of the mutual covenants and agreements herein contained and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

## ARTICLE 1: DEFINITIONS

**"Agreement of Purchase and Sale" or "APS"** means the binding written agreement for the purchase and sale of real property as described in Schedule "A", including any addenda or amendments thereto;

**"Brokerage"** means the real estate brokerage holding the Commission in trust as described in Schedule "A";

**"Closing Date"** means the expected closing date of the APS as set out in Schedule "A", or such earlier or later date as may be mutually agreed in writing by the parties to the APS;

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**"Commission"** means the specific commission receivable being purchased, as described in Schedule "A";

**"Settlement Period Fee"** means the non-refundable fee covering the settlement period of 7 (7) calendar days following the Expected Closing Date, during which the Brokerage is required to remit the Commission to the Purchaser, calculated in accordance with Article 3;

**"Late Payment Interest"** means interest at the rate of twenty-four percent (24%) per annum, compounded daily, applicable to the Purchase Price where the Commission has not been received in full by the date that is 30 (30) calendar days after the Expected Closing Date, as set out in Article 6;

**"Face Value"** means the net commission payable to the Seller after the Brokerage's commission split, as set out in Schedule "A";

**"Payment Due Date"** means the date that is 7 (7) calendar days following the Expected Closing Date, by which the Brokerage must remit the Commission to the Purchaser;

**"Late Interest Accrual Date"** means the date that is 30 (30) calendar days following the Expected Closing Date, on and after which Late Payment Interest begins to accrue if the Commission has not been received in full;

**"Irrevocable Direction to Pay"** means the irrevocable direction executed by the Seller directing the Brokerage to pay the Commission directly to the Purchaser, in the form attached as Schedule "B";

**"Remediation IDP"** means an Irrevocable Direction to Pay executed by the Seller under Article 5.5(b) in respect of a commission receivable other than the Commission, for the purpose of satisfying an outstanding balance owing under this Agreement;

**"Purchase Discount"** means the fee charged by the Purchaser for this purchase transaction, calculated as set out in Article 3;

**"Purchase Price"** means the amount paid by the Purchaser to the Seller, being the Face Value less the Purchase Discount and the Settlement Period Fee;

**"Profit Share"** means the profit-sharing fee payable by the Purchaser to the Brokerage in consideration of the Brokerage's administrative cooperation in connection with this transaction, calculated and payable as set out in the Brokerage Cooperation Agreement between the Brokerage and the Purchaser and reflected in Schedule "A";

**"RECO"** means the Real Estate Council of Ontario.

## ARTICLE 2: PURCHASE AND SALE

**2.1 Sale and Assignment.** The Seller hereby sells, assigns, and transfers to the Purchaser, absolutely and unconditionally, all of the Seller's right, title, interest, and entitlement in and to the Commission, free and clear of all liens, charges, encumbrances, claims, and security interests of any kind.

**2.2 Absolute Assignment.** The Parties acknowledge and agree that this transaction constitutes a true sale and absolute assignment of the Commission, and not an assignment by way of security or a loan.

**2.3 No Residual Interest.** Following the execution of this Agreement, the Seller shall have no further right, title, interest, or claim in or to the Commission, except as expressly set forth in this Agreement.

## ARTICLE 3: PURCHASE PRICE AND PAYMENT

**3.1 Face Value.** The Face Value of the Commission is \$10,200.00 (the "Face Value"), being the net commission payable to the Seller after the Brokerage's commission split.

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**3.2 Purchase Discount.** The Purchase Discount is \$244.80 (the "Purchase Discount"), calculated as follows: \$0.80 per \$1,000 per day of Face Value, for 30 days (being the number of calendar days from the day following the Funding Date to and including the Expected Closing Date; the Funding Date itself is not charged, as the funds are received the following day, and the Expected Closing Date is charged, as repayment is not received on that date).

**3.3 Settlement Period Fee.** The Settlement Period Fee is \$57.12 (the "Settlement Period Fee"), calculated as follows: \$0.80 per \$1,000 per day of Face Value, for 7 (7) calendar days. This fee covers the settlement period during which the Brokerage is required to remit the Commission to the Purchaser. The Settlement Period Fee is a non-refundable flat fee and is not subject to proration or adjustment regardless of when payment is received.

**3.4 Purchase Price.** The Purchase Price payable to the Seller is \$9,898.08 (the "Purchase Price"), being the Face Value less the Purchase Discount and the Settlement Period Fee.

**3.5 Payment.** The Purchaser shall pay the Purchase Price to the Seller by electronic funds transfer to the account specified in Schedule "C" within two (2) business days of execution of this Agreement and the Irrevocable Direction to Pay.

## ARTICLE 4: COLLECTION

**4.1** The Purchaser shall collect the Commission directly from the Brokerage's trust account upon closing of the Real Estate Transaction.

**4.2** The Seller shall, concurrently with the execution of this Agreement, execute an Irrevocable Direction to Pay directing the Brokerage to pay the Commission directly to the Purchaser.

## ARTICLE 5: SELLER'S REPAYMENT OBLIGATION

**5.1 Non-Closing: Full Repayment.** If the Real Estate Transaction does not close for any reason, the Seller shall be personally liable to repay the Purchaser the full Purchase Price. The Seller's obligation to repay is unconditional and is not limited by the reason for non-closing, including but not limited to buyer default, financing failure, mutual termination, or any act or omission of the Seller, the buyer, or any third party.

**5.2 Partial Shortfall: Commission Deficiency.** If the Real Estate Transaction closes but the commission actually received by the Purchaser is less than the Face Value (whether due to reduction, holdback, dispute, or any other reason), the Seller shall be personally liable to pay the Purchaser the difference between the Face Value and the amount actually received. For clarity, any Profit Share lawfully deducted by the Brokerage under the Brokerage Cooperation Agreement shall not be treated as a deficiency for the purposes of this Article.

**5.3 Repayment on Demand.** Upon written notice from the Purchaser that the Real Estate Transaction has failed to close or that the Commission has not been received in full, the Seller shall pay the amount owing under Article 5.1 or 5.2, as applicable, within thirty (30) days. If the Seller fails to make payment within this period, the outstanding amount shall be charged to the Seller's Firm Funds account as a balance owing, and interest at the rate of twenty-four percent (24%) per annum, compounded daily, shall accrue on the unpaid balance (including any prior accrued and unpaid interest) from the thirty-first (31st) day. For clarity, this interest provision applies specifically to seller repayment obligations under this Article, as distinct from the Late Payment Interest on brokerage remittance set out in Article 6.

**5.4 Right of Offset.** The Purchaser may, at its sole discretion, offset any amount owing by the Seller under this Article against future commission purchase transactions, without further notice to the Seller. The Purchaser's right of offset under this Article 5.4 is in addition to, and not in substitution for, the Seller's obligation to elect a cure method under Article 5.5.

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**5.5 Mandatory Cure Election.** Upon written notice from the Purchaser under Article 5.3 that the Real Estate Transaction has failed to close or that the Commission has not been received in full, the Seller shall, within fifteen (15) calendar days of such notice, elect in writing one of the following methods to satisfy the outstanding balance: (a) Cash Repayment, being payment in full of the outstanding balance to the Purchaser by electronic funds transfer (or such other method as the Purchaser accepts) within thirty (30) calendar days of the Purchaser's notice under Article 5.3; or (b) Assignment of Next Eligible Commission(s), being the execution and delivery to the Purchaser of an Irrevocable Direction to Pay (a "Remediation IDP") directing the Brokerage to remit to the Purchaser the next commission receivable to become firm and payable to the Seller, in an amount sufficient to satisfy the outstanding balance. If the next commission receivable is insufficient to satisfy the outstanding balance in full, the Seller shall execute successive Remediation IDPs in respect of each subsequent commission receivable, in the order in which they become firm, until the outstanding balance is satisfied in full. If the Seller fails to make a written election within fifteen (15) calendar days, the Seller shall be deemed to have elected option (a) and the full outstanding balance shall become immediately due and payable.

**5.6 Nature of Remediation IDP; No Purchase Consideration.** The Parties acknowledge and agree that a Remediation IDP executed under Article 5.5(b) does not constitute a new commission purchase transaction. No Purchase Price, Purchase Discount, Settlement Period Fee, or other consideration shall be payable by the Purchaser to the Seller in respect of any commission assigned under a Remediation IDP. The gross amount remitted by the Brokerage in respect of such commission shall be applied solely to reduce the Seller's outstanding balance. Any surplus remaining after the outstanding balance is satisfied in full shall be remitted by the Purchaser to the Seller by electronic funds transfer within five (5) business days of receipt.

**5.7 Continuing Obligation; Disclosure; Portability.** The Seller's obligation under Article 5.5(b) shall continue until the outstanding balance is satisfied in full, and shall not be affected by the passage of time, the Seller's transfer to another brokerage, or any change in the Seller's licensing status (provided the Seller remains a licensed registrant under RECO). The Seller covenants to: (a) notify the Purchaser in writing within two (2) business days of any commission receivable becoming firm, until the outstanding balance is satisfied; (b) notify the Purchaser in writing within two (2) business days of any change in the Seller's brokerage affiliation; and (c) cooperate in good faith to execute and deliver any Remediation IDP required under Article 5.5(b), including, where the Seller has transferred to a new brokerage, executing a Remediation IDP addressed to the new brokerage and providing the Purchaser with such other documentation as the Purchaser may reasonably require. Failure to comply with this Article 5.7 shall constitute a material breach of this Agreement, and Late Payment Interest at twenty-four percent (24%) per annum under Article 5.3 shall continue to accrue on the outstanding balance until satisfied.

## ARTICLE 6: LATE PAYMENT INTEREST

**6.1 Payment Due Date.** The Brokerage shall remit the Commission to the Purchaser within 7 (7) calendar days following the Expected Closing Date (the "Payment Due Date"). The Payment Due Date for this transaction is July 16, 2026.

**6.2 Late Payment Grace; Late Interest Accrual Date.** If the Commission is not received in full by the Payment Due Date, the Purchaser may, at its discretion, contact the Brokerage to address the delay. No Late Payment Interest shall accrue solely by reason of the Commission being unpaid between the Payment Due Date and the Late Interest Accrual Date (being the date that is 30 (30) calendar days after the Expected Closing Date). For greater certainty, the Brokerage's obligation to remit the Commission by the Payment Due Date is not waived or modified by this grace; this Article governs only the timing of Late Payment Interest accrual.

**6.3 Late Payment Interest.** If the Commission has not been received in full by the Purchaser as of the Late Interest Accrual Date, Late Payment Interest shall accrue at the rate of twenty-four percent (24%)

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per annum, compounded daily on the Purchase Price (including any prior accrued and unpaid interest), commencing on the Late Interest Accrual Date and continuing until the Commission is received by the Purchaser in full. For the purposes of this Article, the Commission shall be considered received in full when the Purchaser has received the Face Value less any Profit Share lawfully deducted by the Brokerage under the Brokerage Cooperation Agreement. This Article applies to late remittance by the Brokerage following a closing; interest on seller repayment obligations following non-closing or commission deficiency is governed by Article 5.3.

**6.4 Responsibility for Late Payment Interest.** The Seller acknowledges and agrees that Late Payment Interest is the sole responsibility of the Seller. Such interest shall be charged to the Seller's account with the Purchaser and may be deducted from future commission purchase transactions or invoiced separately at the Purchaser's discretion.

**6.5 No Refund of Settlement Period Fee.** For greater certainty, the Settlement Period Fee set out in Article 3.3 is non-refundable and shall not be credited, prorated, or adjusted in any circumstance, including early payment by the Brokerage.

## **ARTICLE 7: SUBSTITUTION AND REPAYMENT ARRANGEMENTS**

**7.1 Substitution Option.** If the Real Estate Transaction does not close, the Seller may, with the prior written consent of the Purchaser, offer a substitute commission receivable of equal or greater Face Value. Acceptance of a substitute commission is at the sole discretion of the Purchaser and does not discharge or reduce the Seller's repayment obligation under Article 5 unless the Purchaser confirms acceptance in writing. For greater certainty, this Article 7.1 is in addition to, and does not modify or supersede, the Seller's mandatory cure obligation under Article 5.5.

**7.2 Repayment Arrangement.** The Purchaser may, at its sole discretion, agree to a repayment arrangement with the Seller. Any such arrangement must be agreed to in writing and shall not exceed six (6) monthly installments. Interest at the rate of twenty-four percent (24%) per annum, as set out in Article 5.3, shall continue to accrue on any unpaid balance during the repayment period.

**7.3 Account Balance.** The following amounts shall be recorded as a balance owing on the Seller's Firm Funds account: (a) the full Purchase Price owing under Article 5.1 (non-closing); (b) any commission shortfall owing under Article 5.2 (partial deficiency); (c) interest on seller repayment obligations under Article 5.3; and (d) Late Payment Interest on brokerage late remittance under Article 6.2. The Purchaser may offset any balance owing against future commission purchase transactions without further notice to the Seller.

**7.4 Cumulative Remedies.** The remedies set out in this Article are in addition to, and not in substitution for, any other rights or remedies available to the Purchaser at law or in equity.

## **ARTICLE 8: SELLER'S REPRESENTATIONS AND WARRANTIES**

The Seller represents and warrants: (a) valid RECO registration and good standing; (b) full authority to sell and assign the Commission; (c) firm transaction with all conditions satisfied; (d) no prior assignment of the Commission; (e) no impediments to closing; (f) all information provided is true and accurate; (g) no pending litigation; (h) no PPSA registrations against the Commission; (i) buyer financing verified; (j) sufficient proceeds to pay the Commission.

## **ARTICLE 9: NOTIFICATION OBLIGATION**

The Seller shall immediately notify the Purchaser if: (a) the Closing Date changes; (b) the transaction is terminated; (c) any circumstance may prevent closing; or (d) the Seller ceases to be licensed.

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## **ARTICLE 10: TAX OBLIGATIONS**

The collection, reporting, and remittance of all applicable GST/HST on the Commission is the sole responsibility of the Seller.

## **ARTICLE 11: FINTRAC COMPLIANCE**

The Seller acknowledges identity verification through the Purchaser's portal and consents to record retention for a minimum of five (5) years.

## **ARTICLE 12: GENERAL PROVISIONS**

Governed by the laws of Ontario. Electronic signatures valid under the Electronic Commerce Act, 2000 (Ontario). Each Party has been advised to obtain independent legal advice.

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**SCHEDULE "A": TRANSACTION DETAILS**

| Item                                  | Details                                          |
|---------------------------------------|--------------------------------------------------|
| Deal Number                           | 1042-0609-26                                     |
| Property Address                      | 123 Sample Street, Sault Ste. Marie, ON          |
| MLS Number                            | SM0000000                                        |
| Expected Closing Date                 | July 9, 2026                                     |
| Payment Due Date                      | July 16, 2026                                    |
| Gross Commission Amount               | \$12,000.00                                      |
| Brokerage Commission Split            | 15%                                              |
| Net Commission to Seller (Face Value) | \$10,200.00                                      |
| Discount Rate                         | \$0.80 per \$1,000 per day                       |
| Number of Days (Discount Period)      | 30                                               |
| Purchase Discount                     | \$244.80                                         |
| Settlement Period Fee (7 days)        | \$57.12                                          |
| Purchase Price (Agent Receives)       | \$9,898.08                                       |
| Brokerage Profit Share                | \$60.38                                          |
| Late Payment Interest Rate            | 24% per annum, compounded daily                  |
| Late Interest Grace (from closing)    | 30 days                                          |
| Brokerage Legal Name                  | Sample Realty Inc., Brokerage (SAMPLE)           |
| Brokerage Address                     | 456 Example Avenue, Sault Ste. Marie, ON P6A 1A1 |
| Broker of Record                      | John Sample                                      |

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## **SIGNATURE PAGE**

IN WITNESS WHEREOF the Parties have executed this Agreement as of the date first written above.

**SELLER:**

Name: Jane Q. Sample (SAMPLE AGENT)

RECO Registration No.: 00000000

Signature: \_\_\_\_\_

Date Signed: \_\_\_\_\_

**PURCHASER: FIRM FUNDS INC.**

Title: President